**INSTRUCTIONAL AREA**
Financial Analysis

# BUSINESS FINANCE SERIES EVENT

## PARTICIPANT INSTRUCTIONS

(quoted directly from DECA, INC)

- "This event is presented to you through your review of the Career Competencies, Performance Indicators and Event Situation."
- "You have up to 10 minutes to review this information and prepare your presentation. Using the materials provided, you may make notes to use during your presentation."
- "You will have up to 10 minutes to present to the judge(s)."
- "You will be evaluated on your solution to the event situation, how you incorporate the performance indicators of this event and how you demonstrate the career competencies."
- "Turn in all your notes and event materials when you have completed the event."

## SOLUTION

- Unique – Demonstrate original thinking, fresh perspectives and an insightful approach.
- Practical – Develop an actionable/viable solution in a real-world context.
- Effective – Develop a solution that achieves relevant outcomes.

## CAREER COMPETENCIES

- Critical Thinking – Think critically to understand and solve problems.
- Communication – Communicate clearly, effectively and with reason.
- Decision Making – Consider the impacts of decisions.

## PERFORMANCE INDICATORS

1. Explain the role of finance in business.
2. Describe the need for financial information.
3. Describe the nature of income statements.
4. Explain the nature of overhead/operating costs.

**EVENT SITUATION**

You are to assume the role of the owner of PEDAL & GRIND, a bicycle repair shop with a small coffee bar inside. Your new business partner (judge) wants you to explain why the business made less profit this quarter even though sales were the highest they have ever been.

PEDAL & GRIND opened three years ago. Last spring, you added the coffee bar to bring in customers while they wait for repairs. You also signed a lease on the larger storefront next door. This quarter, sales went up 30% from last quarter, but net profit went down.

Your new business partner (judge) put money into the business last month. The partner (judge) has a background in bike mechanics, not business, and doesn't understand how higher sales can come with lower profit. The partner (judge) also wants to know why you spend so much time "doing the books" when you could be fixing bikes.

You will walk the business partner (judge) through the income statement and recommend how the business can improve profit next quarter. The role-play takes place at the shop. The business partner (judge) will begin the role-play by asking about the quarterly numbers. After you have explained and have answered the business partner's (judge's) questions, the business partner (judge) will conclude the role-play by thanking you for your work.

Possible Judge's Questions:

1. How often should we look at our income statement, and who else needs to see it?
2. Should we keep the coffee bar, or is it costing us more than it brings in?

| Did the participant: | | Novice | Developing | Proficient | Exemplary | Judged Score |
|---|---|---|---|---|---|---|
| **PERFORMANCE INDICATORS** | | | | | | |
| 1. | Explain the role of finance in business? | 0-1-2-3 | 4-5-6-7 | 8-9-10-11 | 12 | |
| 2. | Describe the need for financial information? | 0-1-2-3 | 4-5-6-7 | 8-9-10-11 | 12 | |
| 3. | Describe the nature of income statements? | 0-1-2-3 | 4-5-6-7 | 8-9-10-11 | 12 | |
| 4. | Explain the nature of overhead/operating costs? | 0-1-2-3 | 4-5-6-7 | 8-9-10-11 | 12 | |
| **SOLUTION** | | | | | | |
| 4. | **Unique**<br>Demonstrate original thinking, fresh perspectives and an insightful approach. | 0-1-2 | 3-4-5 | 6-7 | 8 | |
| 5. | **Practical**<br>Develop an actionable/viable solution in a real-world context. | 0-1-2 | 3-4-5 | 6-7 | 8 | |
| 6. | **Effective**<br>Develop a solution that achieves relevant outcomes | 0-1-2 | 3-4-5 | 6-7 | 8 | |
| **CAEREER COMPETANCIES** | | | | | | |
| 7. | **Critical Thinking**<br>Think critically to understand and solve problems | 0-1 | 2-3 | 4-5 | 6 | |
| 8. | **Communication**<br>Communicate clearly, effectively and with reason. | 0-1 | 2-3 | 4-5 | 6 | |
| 9. | **Decision Making**<br>Consider the impacts of decisions. | 0-1 | 2-3 | 4-5 | 6 | |
| **OVERALL IMPRESSIONS** | | | | | | |
| 10. | Demonstrate overall career readiness through professionalism, poise and confidence. | 0-1-2-3 | 4-5-6 | 7-8-9 | 10 | |
| | | | | | **TOTAL SCORE** | |